ECONOMICS ASSOCIATION OF ZAMBIA

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EAZ QUARTERLY NEWSLETTER

Q1 2026

Macroeconomic Trends, Policy Signals and Institutional Highlights

March 2026

LEADERSHIP MESSAGES



[EAZ President]

Message from the EAZ President

Zambia's economic landscape at the close of 2025 and the dawn of 2026 has demonstrated notable resilience in the face of a challenging global environment. Despite persistent inflationary pressures and exchange rate volatility, the economy has shown its capacity to adapt, supported by strong agricultural output, mining sector recovery, and the government's commitment to macroeconomic stabilisation.

The Economics Association of Zambia continues to play a pivotal role in convening economists, policymakers, and development partners to shape sound economic discourse. As we move through Q1 2026, EAZ remains committed to evidence-based policy engagement, expanding our institutional reach through chapter development, and elevating the quality of economic research produced in Zambia.

I am confident that with sustained policy focus and institutional collaboration, Zambia is well-positioned to achieve inclusive and durable growth in the years ahead.



[EAZ National Secretary]

Message from the EAZ Secretariat

Q1 2026 has been a period of significant institutional momentum for the Economics Association of Zambia. The Secretariat has been focused on three strategic pillars: expanding our chapters network to build a nationwide presence, deepening partnerships with academic and policy institutions, and strengthening our research and publications agenda.

We are particularly proud of the successful launch of new EAZ chapters at Cavendish University and Kwame Nkrumah University, which reflect our commitment to student engagement and the democratisation of economic knowledge. These chapters will serve as platforms for research, debate, and the cultivation of the next generation of Zambian economists.

Our Q1 Secretariat planning session has set a clear agenda for membership growth, policy engagement, and research output that we look forward to delivering throughout 2026.

ECONOMIC HIGHLIGHTS — Q1 2026

K19.24	7.1%	13.5%
Exchange Rate	**Inflation Rate**	**Policy Rate**
USD/ZMW (Avg. Q1)	March 2026	Bank of Zambia MPR

1. Exchange Rate Developments

The Zambian Kwacha demonstrated relative stability during Q1 2026, trading within a narrow band of K19.18–K19.30 against the US Dollar. While performance was underpinned by improved foreign exchange inflows from the mining sector, persistent import demand and fuel-related pressures exerted mild depreciation tendencies.

- Mining sector FX inflows provided a stabilising anchor during the quarter.
- Import demand particularly for fuel and capital goods continued to exert upward pressure on the exchange rate.
- Exchange rate volatility continues to transmit into fuel pricing and consumer inflation dynamics

2. Inflation Trends

Annual inflation declined into single digits, reaching approximately 7.1% in March 2026, down from elevated levels earlier in the year. Monthly inflation moderated significantly, with the January reading of 0.5% signaling a meaningful easing of price pressures.

Disinflation was driven by:

- Improved exchange rate stability reducing imported inflation.
- Easing non-food price pressures, notably in fuel and transport.
- A favorable agricultural season contributing to lower food price expectations.

> **Policy Insight:** Inflation is converging toward the Bank of Zambia's 6–8% target band, providing analytical justification for the shift toward monetary easing observed in Q1 2026.

3. Fuel Price Movements

Fuel prices increased sharply in April 2026, reflecting pressures that built throughout Q1. Petrol reached approximately K27.15 per liter and diesel K29.78 per liter at domestic pumps.

Key drivers included:

- A significant surge in global crude oil prices (up to +100% in some benchmarks), linked to heightened geopolitical tensions in the Middle East.
- Continued Kwacha depreciation amplifying the cost of fuel imports.

Government Response:

- Temporary suspension of excise duty on petroleum products.
- Zero-rating of VAT on select fuels to cushion consumers from the full price impact.

> **Geopolitical Risk Highlight:** Oil price volatility linked to Middle East tensions highlights Zambia's structural vulnerability as a landlocked, import-dependent economy. Fuel price shocks remain a key transmission channel for broader inflationary pressures.

4. Monetary Policy Developments

The Bank of Zambia reduced the Monetary Policy Rate (MPR) to approximately 13.5% during Q1 2026, marking a notable shift in the policy stance from tight stabilization toward a more growth-supportive orientation.

The policy easing was premised on:

- A sustained decline in headline inflation toward the target band.
- Improved foreign exchange supply from mining sector earnings.
- A positive agricultural outlook reducing food price risk.

Policy Interpretation: This represents a measured pivot from crisis-mode monetary tightening to accommodative support for domestic credit and investment a constructive signal for private sector recovery.

5. Interest Rate Environment & Credit Conditions

Commercial lending rates remain elevated, reflecting the lagged pass-through of prior monetary tightening cycles. However, credit conditions are expected to gradually improve as the MPR reduction takes effect across the banking system.

- Private sector lending remains constrained but is trending toward gradual normalization.
- Investment recovery is likely to remain lagged but should gain momentum as borrowing costs ease through 2026.

6. Trade: Exports, Imports & Agriculture

Export performance during Q1 2026 was supported by robust copper sector output and improved FX supply from mining inflows. Imports remained elevated, driven by fuel, machinery, and consumption goods.

Export Drivers

- Copper sector production & inflows
- Improved FX supply from mining receipts
- Maize export potential (post-surplus season)

Import Pressures

- Fuel imports driving FX demand
- Capital machinery for mining & infrastructure
- Consumer goods sustaining import demand

Agriculture & Trade Policy Update

The 2025/26 agricultural season has delivered a strong rainfall pattern, with maize production expected to result in a significant food surplus. In response, the Government of Zambia has lifted restrictions on maize exports — a positive signal of improved food security and an emerging export diversification opportunity.

Macroeconomic implications include: support for lower food inflation, improved rural incomes and agricultural sector GDP, and modest export earnings diversification beyond copper.

POLICY & STRUCTURAL DEVELOPMENTS

24-Hour Economy Policy Direction

Cabinet signaled a policy direction toward a '24-hour economy' framework during Q1 2026. The initiative is aimed at maximizing national productivity through extended operational hours across key sectors, expanding formal employment, and enhancing industrial capacity utilization.

- **EAZ Interpretation:** The 24-hour economy concept remains at an early structural reform stage. While the medium-term growth implications could be significant particularly for manufacturing, logistics, and services effective implementation will require complementary investment in energy, transport infrastructure, and labour market frameworks.
- **EAZ Recommendation:** Government should consider measures such as subsidized energy, improved market security and training programs to help SMEs adapt. For the 24-hour economy to be transformative, it must be inclusive ensuring that informal traders and SMEs, who drive Zambia's economy, are not left behind. A phased approach, starting with urban centers and pilot programs, can help identify challenges and build capacity before scaling nationwide.

EAZ ACTIVITIES & EVENTS — Q1 2026

Launch of Cavendish University EAZ Chapter

EAZ successfully expanded its institutional footprint to the Cavendish University, establishing a vibrant student chapter focused on economic research, policy advocacy, and professional development for young economists in the Copperbelt Province.



Launch of KNU EAZ Chapter

The Kwame Nkrumah University EAZ Chapter was successfully launched, extending EAZ's reach into the teacher training and education sector. The chapter provides a platform for economics discourse among future educators, strengthening youth participation in national policy conversations.



Strategic Engagements

EAZ met with Absa Group at their Lusaka headquarters as part of the 2026 Country & Sovereign Review on Zambia.

Dr. Mungule highlighted EAZ's role in advancing economic discourse, covering fiscal policy, IMF debt, agriculture, mining, economic stability, and government alignment with sustainable development priorities such as the green economy and climate change initiatives. He noted Zambia's positive GDP growth, contributions from key sectors, the role of SMEs, and strategies to navigate global economic challenges and maintain resilience.

Absa's team actively engaged with follow-up questions on economic resilience, IMF matters, and macroeconomic trends, making the meeting a valuable discussion on Zambia's policy direction and growth prospects**.**



EAZ- CBU Engagement on Economics Curriculum Reforms

EAZ held a strategic engagement meeting with The Copperbelt University (CBU) to discuss the revised Bachelor of Science in Economics curriculum and the proposed introduction of a PhD in Economics programme. The proposed reforms are designed to strengthen analytical capacity, enhance quantitative rigour, and respond to evolving national economic priorities, increasing demand for data-driven policy analysis, and identified skills gaps in advanced economic research



EAZ Board Q1 Meeting

On the 14th of February 2026, the EAZ Board convened its Q1 2026 strategic planning session, reviewing membership growth targets, the 2026 policy engagement calendar, and the association's research and publications agenda. Key priorities for the year were formalized.



EAZ Gala Dinner — End of 2025

EAZ hosted a successful end-of-year Gala Dinner, bringing together leading economists, senior policymakers, and private sector leaders in celebration of the association's 2025 milestones. The event strengthened institutional partnerships and elevated EAZ's visibility as Zambia's premier economics body.



Public Lectures

EAZ had a Public Lecture at Southern Sun Hotel where we had a presentation by Mr. Maysam Abedin, Transport Economist and Team Leader, on the topic: **"Did Zambia's road and airport investments drive growth or deepen investment?"** The session featured rich discussion and valuable insights into the role of transport infrastructure in shaping Zambia's economic growth and development.



Board Appointments

EAZ has received letters from various ministries to appoint fully paid-up members to sit on different Boards



Membership Registration Process

1. Visit the EAZ Website
   - Navigate to the membership registration section at www.eaz.org.zm.
2. Select and Apply for your Membership Category
   - Choose the appropriate category based on your qualifications or organizational type
3. Complete the Registration Form
   - Fill out the online application form with accurate details.
4. Generate the latest Invoice
   - Provide relevant documents, such as proof of qualifications or organizational details.
5. Payment of Fees
   - Pay the applicable membership fee online via the EAZ payment gateway or through the bank
6. Confirmation and Activation
   - Upon successful verification, you will receive a confirmation email.
   - Your membership will be activated, granting you access to all associated benefits.
7. Receive Your Membership Certificate
   - If you paid directly using the EAZ payment gateway, the system will automatically send your receipt and certificate.
   - If you paid via bank transfer or your company made the payment on your behalf, send us the proof of payment (POP), and we will issue your receipt and certificate.

PHOTO GALLERY









OUTLOOK FOR Q2 2026

Key Expectations

- Inflation expected to stabilize within the 6–8% target band.
- Exchange rate outlook: moderately stable, but vulnerable to external oil price shocks.
- Gradual easing of commercial lending rates expected as monetary policy transmission deepens.
- Agricultural surplus to support lower food prices and expanded export revenues.

Key Risks to Watch

- Global oil price volatility driven by geopolitical tensions in the Middle East.
- Climate variability posing risks to the next agricultural cycle despite current favorable conditions.
- Fiscal pressures and debt servicing obligations constraining public investment capacity.
- Delayed pass-through of monetary easing to real sector credit growth.

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